CONARCH PROPERTIES (PRIVATE) LIMITED
versus
MUNASHE SHAVA N.O. (In his official capacity as the Administrator
of HWANGE COLLIERY COMPANY LIMITED)

HIGH COURT OF ZIMBABWE
DEMBURE J
HARARE; 20 January and 25 February 2026

Court Application

T T G Musarurwa, for the applicant
T W Nyamakura, for the respondent

DEMBURE J: This is a court application for judicial review in terms of s 3(1) of the Administrative Justice Act [*Chapter 10:28*] (*"the AJA"*). The applicant seeks the review of the decision made by the respondent in his capacity as the administrator of Hwange Colliery Company Limited (*"HCCL or the company"*), a company under administration, in terms of s 6(b) Reconstruction of State-Indebted Insolvent Companies Act [*Chapter 24:27*] ("*the Act"*), wherein he refused to grant leave to institute proceedings against the company. The impugned decision was made on 22 April 2025. It was alleged that the respondent's decision was reviewable on the grounds of unlawfulness, unreasonableness and procedural unfairness. The applicant seeks the following relief:

> "1. The decision of the Respondent, contained in a letter dated 22 April 2025, refusing to grant leave to the Applicant to institute proceedings against Hwange Colliery Company Limited, be and is hereby reviewed and set aside.
> 2. The Applicant is hereby granted leave to institute proceedings against Hwange Colliery Company Limited as provided in the draft summons, within 30 days of grant of this order.
> 3. The Respondent to pay costs on the ordinary scale."

The application was opposed by the respondent.

FACTUAL BACKGROUND

The applicant, Conarch Properties (Private) Limited, is a company duly incorporated in accordance with the laws of Zimbabwe. The respondent is Munashe Shava, cited in his official capacity as the administrator of the HCCL, duly appointed in terms of s 4 of the Act to administer the company under administration.

The applicant averred that from 2023, the applicant and HCCL got engaged in some negotiations or discussions on the proposed renovations and changes to the company's coal house in Harare. In particular, the proposal submitted by the applicant to the company was for the redevelopment of the company's property under a Build, Operate and Transfer model (*"BOT"*). HCCL's Managing Director duly considered the assessment proposal sent by the applicant and, on 29 February 2024, commented that *inter alia,* there were further issues not covered in the assessment, including the bill of quantities.

The applicant subsequently submitted the detailed assessment proposal on 28 March 2024 to the company. There were further exchanges of communication on the proposal. It was stated by the applicant that HCCL later decided not to proceed with the BOT model, indicating that it was not aligning with its vision. It was argued that the negotiations were terminated in bad faith.

There was no dispute that there was no contract that was concluded between the parties over the said project. The applicant claimed that it had fulfilled all the requests from HCCL and incurred significant expenses in the process. It alleged that HCCL's conduct in unilaterally deciding not to go ahead with the project constituted a breach of its pre-contractual duty to negotiate in good faith and has resulted in the company also being enriched at the applicant's expense. The plaintiff claimed payment of US$366,349.79, being damages for breach of what it termed pre-contractual duty and unjust enrichment. The amount arose from the expenses it allegedly incurred from the preliminary works it carried out, including building evaluations, structural reports and feasibility study.

After HCCL refused to meet the said expenses, the applicant made a decision to institute legal action against the company before this court. On 3 April 2025, the applicant, through its legal practitioners, sought leave from the respondent to institute proceedings against the company in terms of s 6(b) of the Act.

On 22 April 2025, the respondent refused to grant the requested leave. The applicant approached this court on 30 July 2025, now seeking a review of the respondent's decision in terms of s 3(1) of the AJA. It raised the following reviewable grounds, namely that there was procedural unfairness and failure to give adequate reasons in breach of s 3(1)(a) and (c) of the AJA and failure to take into account relevant considerations in breach of s 3(1)(e) of the AJA. It further argued that this was a proper case for the court to set aside the decision and substitute it with its own decision by granting the leave sought to initiate proceedings before the court. It was contended that a remittal of the matter to the administrator would lead to undue delay and further prejudice the applicant, and the court could competently make the decision in the circumstances.

The respondent's position was that the refusal to grant leave to sue was lawful, reasonable and procedurally fair. He denied that there were any procedural irregularities as he properly exercised his discretion in terms of the material placed before him. It was contended that it was the applicant who opted to approach the company with a proposal to renovate one of its properties, and the discussions were never binding on either party. The expenses incurred by the applicant were of its own making, and there was no undertaking to enter into a BOT with the applicant and to repay them. It was stated that the proposal was considered and rejected.

It was asserted that there was no sustainable or genuine claim against the company, and the refusal to grant leave was proper. The respondent averred that he carefully considered the material before him and noted that there was no evidence presented to substantiate the claim for reimbursement of any expenses allegedly incurred or for unjust enrichment. The applicant, it was further pleaded, failed to demonstrate a *prima facie* case that warrants judicial interrogation. The exercise of discretion was properly exercised to avoid exposing the company to needless litigation. The claim being speculative had no demonstrable legal foundation. The company could not be exposed to unnecessary costs, which would erode value properly to be preserved for the benefit of all creditors.

He denied that there was any unfairness, claiming that he duly considered the request and reasons for the decision were given. The respondent prayed for the dismissal of the application with punitive costs. The applicant filed an answering affidavit in which it maintained its position that the respondent's decision was reviewable on the stated grounds. At the hearing, the parties made the following oral submissions.

SUBMISSIONS MADE BEFORE THE COURT

SUBMISSIONS FOR THE APPLICANT

Mr *Musarurwa* submitted that he was abiding by the heads of arguments filed of record. He referred me to s 69(3) of the Constitution, which provides that every person has the right of access to the courts or to some other tribunal or forum established by law for the resolution of any dispute. He argued that the provision that gives the administrator powers to vet cases is a violation of this provision. It is a *prima facie* violation of this provision. What is required by the court in interpreting this provision is to do what is known as reading down the Constitution into this provision. This means that in so reading down, the court ensures that the provision is made constitutional by limiting the extent to which it is utilised or interpreted. It should only be in the most egregious of cases that an administrator would be allowed to disallow a case from proceeding.

He argued that from that constitutional background, s 6(b) of the Act must be interpreted to limit its extent so that it does not become a violation of s 69(3). Counsel further submitted that the relationship between the parties evolved over two years. The respondent was asked to submit British standard structural load tests, which required one to contract engineers who are able to meet the standard. Costs would be incurred. This was not merely someone presenting as an unsolicited bid. These were of benefit to the respondent. What they did was to research on the structural strength of the coal house, and those reports were submitted. The respondent was now aware of the structural strength of its coal house. If it chooses to deal with any other people, it now knows the structural strength of that building. They have been enriched by the work that was done by the applicant. The applicant was simply seeking that the court substitute its decision for the decision that had been given by the respondent.

Counsel further submitted that the decision that was given by the respondent was unlawful, not procedurally fair and amounts to a gross irrationality. It would not make sense with respect to remitting the matter back to the respondent because he had already made a conclusion that this matter is wholly without merit. He referred the court to the case of *Affretair (Pvt) Ltd & Anor* v *M K Airlines (Pvt) Ltd* 1996 (2) ZLR 15 (S). The court will substitute its decision if the remittal is futile, as in this case. The administrator could have made a request for any further

documentation. What was done was to dismiss the matter without holding any proper inquiry on the merits.

It was also contended that the respondent was not supposed to get into the merits of the matter *per se* and say this matter was wholly without merit. The question was whether there was a triable or arguable case. It was not for him to be a judge to dismiss the matter. In this case, there is a triable case. The provision does not bar those transactions entered into prior to the company entering administration. The applicant was dealing with the managing director and other officers of the company. To then say that what they did cannot be challenged in a court would be to make the provision unconstitutional. He argued that the matter was triable, or a *prima facie* case had been raised by the applicant. The draft summons, which is part of the record show that the cause of action is based on two grounds.

The English case of *Cobbe* v *Yeoman's Row Management Ltd* [2008] UKHL 55 was relied upon, where the developer also sued for what they would have earned had the contract proceeded. They were successful in their claim against the actual loss that was incurred, regardless of the fact that there was no contract that was eventually entered into. That cause of action has been allowed in the United Kingdom. He argued that in other jurisdictions as well, one can sue for pre-contractual losses, especially where the negotiations are terminated in bad faith. The negotiations were terminated in bad faith because after leading the applicant on to say this is what we want to do and furnish us this, the end result was to later say it did not align with their vision. They should have been clear from the outset without having to have numerous meetings and engage numerous experts.

In Zimbabwe, it has not been denied that a party can sue for pre-contractual loss. The applicant must be allowed to have its day in court in terms of 69(3) of the Constitution. He further submitted that the applicant's claim was a delictual claim for losses incurred prior to a contract being entered into. It cannot be a contractual claim because there had not been a contract yet. It was also based on the doctrine of legitimate expectation.

SUBMISSIONS FOR THE RESPONDENT

Per contra, Mr *Nyamakura* submitted that he also abided by the heads of argument filed on behalf of the respondent. He argued that s 6(b) of the Act is a gatekeeping mechanism that is intended to protect a company under administration because it is under administration by reason

of being financially distressed. It is in the same position as a company that is under corporate rescue or provisional liquidation. That was why s 6 was permitted. He argued further that there was no Supreme Court authority that deals with the text, context and purpose of s 6. The cases that were cited by the parties, including the *Gwaradzimba N.O. v Gurta A.G.* SC 10/15, dealt with a case where the administrator ignored the application. This court had sought to formulate a test in the case of *Marufu & Ors v Gwaradzimba N.O* HH 322/17. Bearing in mind that s 6 is a gatekeeping mechanism, the administrator's duty is to ascertain whether there is a *bona fide* claim. A *bona fide* claim is one that will not unduly burden the administration of the company or harass the administration. In other words, he should be satisfied that there is a cause of action against the company and administration. Once he is satisfied that there is a cause of action against the company in administration, the merits of that claim are a judicial determination and not a determination that the administrator is permitted to make. Which means if there is no cause of action, leave must be denied.

As to whether the denial of leave is constitutional, the Supreme Court sitting as a Constitutional Court has already determined this in *African Resources Ltd* v *Gwaradzimba N.O & Ors* 2011 (1) ZLR 105 (S). The enquiry is simple and short: Does the applicant have a cause of action? If the applicant has a cause of action, it follows that the administrator was wrong in determining that they did not have one, and it follows that leave must be granted. It is not a difficult inquiry. And the inquiry was simplified, by regard to the applicant's own case. Counsel for the applicant conceded that in this jurisdiction, no such claim has been mounted successfully, nor does it exist. Counsel seeks to introduce what can be termed a test case. The test case is not based on Roman-Dutch law. In fact, counsel submitted that the nearest such cause of action is to be found under English law. But English law is not part of our law.

It was further argued that once the applicant admits that the authority for the position that it had taken is to be found in English law without referring to a Roman-Dutch principle that permits the cause of action that they seek to file, it follows that such a cause of action does not exist. It also does not exist. Under Roman-Dutch law, there are only four causes of action. The first is contract, and it is common cause from the papers that there was no contract between the parties. It, therefore, follows that contract as a cause of action does not avail itself in the matter. The second cause of action is delict. Delict is not an all-encompassing basket where any

complaint that a party fails to locate in other areas of the law is thrown in as delictual damages. Delict also on its own comprises specified actions under the law. They are called *actios*. There was also no attempt at aligning them to any delict, assuming that these were delictual damages.

The third cause of action is statutory, which, of course, does not apply in this matter. The fourth is a series of causes of action that this court has developed over time with due regard to the interests of justice, such as unjust enrichment. It needs no authority to highlight that the summons and declaration sought to be relied on by the applicant do not even begin to meet the requirements of an unjust enrichment action. It merely says we did work, we lost, and, therefore, we are entitled to compensation. That is not an action for unjust enrichment.

Counsel went on to submit that on the papers and the facts, they do not have a recognisable cause of action. Pre-contractual damages do not exist in Roman-Dutch law. Roman-Dutch law can be summarised as follows: pre-contractual activities by the parties are not actionable. See *Cgee Alsthom Equipments Et Enterprises (Electriques, South African Division)* v *GKN Sankey (Pty) Ltd* 1987 (1) SA 81 at p 92A-E. The applicant's case is that they had a legitimate expectation that if they did a good job, they might be chosen and a contract might be entered into. Legitimate expectation is a doctrine of administrative law. It is not a doctrine of contract. And even in administrative law, legitimate expectation does not create substantive rights. It merely creates a procedural right to be heard in fair proceedings. Legitimate expectation cannot be used to argue that a party therefore has a substantive right to damages in our law.

It was further contended that there was no proof that the company bound itself to make any payments prior to contracting. Section 3 of the AJA requires one of the three things to have been impeded for the courts to assume jurisdiction to substitute. The first is whether the administrator acted lawfully in dealing with this application. He did because he has the power under section 6(b). The decision was reasonable, particularly because there was no cause of action. In fact, in the interaction between his Lordship and Mr *Musarurwa*, he struggled to point to the Roman-Dutch authority that provides for the cause of action the applicant pleaded. There was no complaint that the administrator failed to act within a reasonable time.

The administrator may not prejudge the cause of action. He has no such jurisdiction. All he was required to do was to say whether a case had been made out that there was a breach of contract, for example. The judgment in *Marufu & Ors* and the others cited are in line with s 6(b),

which is there to deny those who have non-existent causes of action leave to sue. In this case, the cause of action does not exist, and no amount of evidence suffices to prove a non-existent cause of action. The cause of action simply does not exist in our law for damages for pre-contract negotiations. Legitimate expectation is a doctrine of administrative law which has been adopted in this country for the purposes of the right to be heard. Unjust enrichment requires the passing of that which has been lost from the estate of the loser to the estate of the benefactor in circumstances where there is no basis for that. If they say we did all this work as part of pre-contract negotiations, which means there is a cause for what they did, they have automatically been taken out of unjust enrichment.

To proceed to substitute its own decision, all the court needs to be satisfied is that the applicant does have a case. With the concession from counsel for the applicant, there is actually no cause of action under Roman-Dutch law that supports what is provided for in the summons and declaration.

REPLYING SUBMISSIONS

In reply, Mr *Musarurwa* argued that in terms of s 46(2) of our Constitution, courts are supposed to develop the common law. That the common law is not static. It is developed with cases being brought to the court. The United Kingdom House of Lords has developed their common law. The same was done in Australia. The court must develop the common law by recognising the right of pre-contract losses that are incurred. Our law is Roman Dutch law as influenced by English law. If the court were to deny the applicant to have its day in court, it is already determining the issue which the applicant wants a court to determine on the merits. The applicant wants to place submissions before the court with regard to how our common law should be developed. He finally submitted that the administrator summarily stated that there was no cause of action without a proper appreciation of why our jurisdiction should be developed to allow this cause of action in the way other progressive modern and commercially viable jurisdictions have done.

ISSUE FOR DETERMINATION

WHETHER THE RESPONDENT'S DECISION WAS UNLAWFUL, GROSSLY UNREASONABLE OR PROCEDURALLY UNFAIR

ANALYSIS

The relevant provisions of s 6(b) of the Reconstruction of State-Indebted Insolvent Companies Act (*"the Act"*) state as follows:

> **"6 Effect of reconstruction order**
> A reconstruction order shall have the following effect, namely that—
> (a) …
> (b) no action or proceeding shall be proceeded with or commenced against the company except by leave of the administrator and subject to such terms as the administrator may impose;…"

Before I deal with the irregularities alleged in this case, I must address the argument raised by Mr *Musarurwa* that s 6(b) of the Act is unconstitutional as the applicant has a right of access to the courts guaranteed by s 69(3) of the Constitution. The constitutionality of s 6 was dealt with by the Supreme Court and settled in *African Resources Ltd* v *Gwaradzimba N.O & Ors (supra*), where it was declared that s 6 did not violate the then Constitution. At p 124 C-E CHIDYAUSIKU CJ said:

> "Section 6 of the Act confers on the administrator the control and management of the company and to take or recover possession of all the assets of the company. It also authorises the administrator as the new manager of the company to litigate on behalf of the company and to defend actions on behalf of the company. Acquiring authority to sue or be sued as a representative of a company does not constitute compulsory acquisition of property of a company at all or as envisaged by s 16 of the Constitution. The failed management's authority to manage a company placed under reconstruction is not property as envisaged by s 16 of the Constitution. There is nothing in s 6 of the Act that contravenes s 16 or s 18 of the Constitution."

The legal position was further restated in *C J Petrow & Company (Pty) Ltd* v *Gwaradzimba N.O*. HH 175/14 at p 4 MAFUSIRE J said:

> "In *casu* the applicant's fall-back position, as it had been in the *Gurta* case, was that s 6 of the Reconstruction Act is *ultra vires* the Constitution of Zimbabwe. Thus, in spite of the decision of the Supreme Court in *African Resources Ltd & Ors* v *Gwaradzimba NO & Ors* 2011 (1) ZLR 105 (S) declaring that s 6 of the Reconstruction Act does not violate the Constitution, and in spite of the decision by MATHONSI J in the *Gurta* case on the constitutional point to the effect that given that the case had to be dealt with in accordance with the old Constitution which had removed the jurisdiction of this court to strike down existing legislation, reposing such power in the Constitutional Court, Mr *de Bourbon* nevertheless argued that the constitutionality of s 6 of the Reconstruction Act was still an open point. He submitted that the *African Resources* case was distinguishable…"

In any case, the applicant did not plead a constitutional case in the papers before me. The application must be disposed of on the basis of the founding affidavit. See *Ahmed v Docking Safaris Station t/a CC Sales* SC 70/18 at p 3. I must, however, state in passing that the right of access to courts under s 69(3) is not absolute. It is only the right to a fair trial which may not be limited by any law. See s 86(3) of the Constitution. In my view, s 6(b) of the Act is one such limitation which is a law of general application. The said provision plays a gatekeeping mechanism to ensure that the entity under administration is not burdened by frivolous claims. It cannot be said that the provision of s 6(b) is *prima facie* unconstitutional. It is trite that all statutes are presumed constitutional, meaning that the Legislature is presumed to have acted within the parameters of the Constitution. The presumption of constitutionality was fully explained in *Zimbabwe Electoral Commission & Anor* v *Commissioner General Zimbabwe Republic Police & Ors* CCZ 03/14.

I, however, agree with Mr *Musarurwa* that in the interpretation of s 6(b) of the Act, the court must promote and be guided by the spirit and objectives of the Bill of Rights and, in this case, concerning the right of access to the courts enshrined under s 69(3) of the Constitution. This is mandated by s 46(2) of the Constitution. However, I must consider that this is a review of the decision of the administrator, the respondent, which concerns the exercise of a discretion. It is trite that in an application of this nature, the court "must confine itself to establishing whether or not the proceedings were afflicted with irregularities." See *Police Service Commission & Anor* v *Manyoni* SC 7/22.

I now move to determine the issue before me, whether the respondent's decision was unlawful, grossly unreasonable and or procedurally unfair. The application was premised under s 3(1) of the AJA, which states as follows:

> "**3 Duty of administrative authority**
> (1) An administrative authority which has the responsibility or power to take any administrative action which may affect the rights, interests or legitimate expectations of any person shall—
> (a) **act lawfully, reasonably and in a fair manner**; and
> (b) act within the relevant period specified by law or, if there is no such specified period, within a reasonable period after being requested to take the action by the person concerned; and
> (c) where it has taken the action, supply written reasons therefor within the relevant period specified by law or, if there is no such specified period, within a reasonable period after being requested to supply reasons by the person concerned." (*my emphasis*)

Further s 4(1) of the AJA also provides as follows:

"**4 Relief against administrative authorities**

(1) Subject to this Act and any other law, any person who is aggrieved by the failure of an administrative authority to comply with section *three* may apply to the High Court for relief."

There is no doubt that the respondent is an administrative authority. He was, therefore, legally bound in terms of the peremptory requirements of s 3(1)(a) to act lawfully, reasonably and in a fair manner. In the event that an administrative authority fails to comply, there would be a gross irregularity entitling the court to interfere with their administrative actions or decisions thereof. It is trite that the courts generally do not interfere with the exercise of an administrative action or decision unless it is shown that the administrative decision or action was unlawful, grossly unreasonable or procedurally unfair. The *onus* to establish that would be on the applicant. This position was restated in *ZIMSEC* v *Makomeka & Anor* SC 10/20, where it was held that:

> "**The general principle is that the courts will not interfere with the actions or decisions of an administrative authority unless they are shown to be unlawful, grossly unreasonable or procedurally irregular or unfair**. This fundamental canon of the common law, as embodied in the so-called Wednesbury principle, is now codified in s 3 (1) of the Administrative Justice Act [*Chapter 10:28*]. The corollary to this principle is that the courts will generally not substitute their own decisions for those of the administrative authority. As was aptly recognised by McNally JA in *Affretair (Pvt) Ltd & Anor* v *M.K. Airline (Pvt*) Ltd 1996 (2) ZLR 15 (S) at 21:
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> > "**The duty of the courts is not to dismiss the authority and take over its functions, but to ensure, as far as humanly and legally possible, that it carries out its functions fairly and transparently. If we are satisfied that it has done that, we cannot interfere just because we do not approve of its conclusion."** However, this latter principle is not immutable and may be departed from in exceptional circumstances. …" (*my emphasis*)

This application must be disposed of on the basis of the founding affidavit. If one considers para 17, the respondent's decision was impugned on the grounds that there was procedural unfairness, a failure to give reasons and a failure to take into account relevant considerations. The respondent's lawful authority to make the decision to refuse or grant leave to sue was not in dispute. Section 6(b) of the Act clearly gives the administrator the discretion to either grant or refuse leave to initiate proceedings against the company under administration. That discretion must, however, be exercised properly.

In *casu*, the applicant submitted its request to sue HCCL to the respondent, who, in exercising his discretion in terms of s 6(b) of the Act, declined to grant the request. The respondent's decision reads:

> "22 April 2025
> Mambosasa Legal Practitioners
> 30 Arundel School Road
> Arundel Harare
> Dear Sirs.
> **RE: REQUEST FOR LEAVE TO INSTITUTE PROCEEDINGS AGAINST HWANGE COLLIERY COMPANY LIMITED IN TERMS OF SECTION 6(b) OF THE RECONSTRUCTION OF STATE INDEBTED INSOLVENT COMPANIES ACT [CHAPTER 24:27]**
> I refer to the above matter and your letter dated 3 April 2025.
> While it is clear that your **client's proposal was unsuccessful** after being given due consideration, nothing has been placed before me to substantiate the claim or to show that your client holds a claim for unjust enrichment and breach of pre-contractual duty. Further, from my assessment, it has not been substantiated whether Hwange Colliery Company Limited ('HCCL') undertook to compensate your client for their submission (preparation costs and any expenses related to your proposal and modifications).
> Consequently. I cannot grant leave as there is no reasonable basis for it to proceed. Leave to institute proceedings against HCCL is denied in terms of the Reconstruction of State Indebted Insolvent Companies Act [*Chapter 24:27*]
> Yours faithfully
> M SHAVA
> **ADMINISTRATOR**
> (For and on behalf of Hwange Colliery Company Limited)"

The applicant argued that the refusal to grant it leave to sue was procedurally unfair in that the reasons provided in the respondent's response were "cursory, unsubstantiated and do not demonstrate a proper engagement with the applicant's request or the *prima facie* evidence of the claim". It is common cause that the applicant submitted its request by a letter dated 3 April 2024 at pp 58-59 of the record. No documents establishing the applicant's claim were attached to that letter. Mr *Musarurwa* sought to argue that the respondent ought to have sought further documents on the claim. I do not believe that an administrator should be burdened by seeking to assist parties to establish that they have *bona fide* claims against the company. It should be the party that seeks relief who ought to provide the necessary documentation for their claims. Once one puts forward a skeleton case, he cannot be heard to cry when the papers fail to show an arguable case. In this case, the applicant presented a skeleton case for a proper assessment that it

had a triable cause to be made. The applicant cannot blame the respondent for not seeking further particulars or documentation on the claim.

It is also settled that where such leave to sue is sought in terms of s 6(b) of the Act, the administrator is not called upon to determine the merits of the claim. The administrator, just like a liquidator or a corporate rescue practitioner, when considering a request for leave to sue, must be satisfied that there is a *bona fide* claim against the company. The claim must be founded on a valid cause of action and must be one which may also be considered as arguable, triable or carries some prospects of success. This position was fully outlined in *C J Petrow & Company (Pty) Ltd* v *Gwaradzimba N.O* (*supra*) at p 6, where MAFUSIRE J said:

> "I am content to accept that in deciding whether or not to grant leave under s 6(b) of the Reconstruction Act, **an administrator** of a State-indebted company **must consider whether the proposed claim is *bona fide* or is simply intended to harass him or to improperly interfere with his administration of the company**. A court reviewing the decision of the administrator will, in my view, scrutinise it on such broad terms as such decisions are generally scrutinised in the field of administrative law.
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> An administrator of a company under reconstruction in terms of the Reconstructive Act whose leave is sought to institute legal proceedings against the company in terms of s 6 (b) of that Act must act in accordance with s 3 of the Administrative Justice Act, particularly subsection (1)(a) thereof. He must act reasonably and in a fair manner. His decision must not be whimsical or capricious. He must not advance self-interests otherwise his decision will be unfair. Whilst his paramount consideration is to turn around the fortunes of the company and bring it out of the financial doldrums so as to free the State from any obligation to pay, that cannot be his singular consideration. He must not be blind to the interests of the other stakeholders in the company otherwise his efforts may produce unintended results. **He must strive to strike a balance.**
>
> When a person is appointed an administrator of a State-indebted company and clothed with the powers of paragraphs (b) and (d) of s 6 of the Reconstruction Act, he is, in a sense, being empowered and authorised to be judge over his own cause. All control and management of the company is vested in him. He decides for and on behalf of the company. He is the face of the company. He is the brains and soul of the company. **He must know what is good for the company. But in spite of all that he must remain objective**." (*my emphasis*)

The applicant was required to show that it had a *bona fide* claim worth due consideration by the court in the intended suit. In other words, there should have been some rational basis shown for a conclusion that the claim has some prospects of success or is *bona fide*. The assessment can only be made based on the materials submitted with the request. In *casu*, Mr *Musarurwa* did not dispute that all that was submitted to the respondent was the request at pp 58-59 of the record. That request did not contain any other material or documentation upon which

the claim was based. There would not be a rational basis set out to show that the claim was *bona fide* in the circumstances.

Further, the claim for pre-contractual damages does not found a valid cause of action in our law. Mr *Musarurwa* conceded on this position. It was not in dispute that there was no contract between the parties. To the extent that the applicant accepted that there was no contract either in relation to the said BOT project or in relation to the reimbursement of any expenses incurred by the applicant during the parties' engagements on the proposal, there can be no valid claim in contract. There is no dispute that the applicant's proposal was rejected and no binding agreement was concluded between the parties. Damages for breach of contract can only arise where a valid contract exists.

When the court queried the cause of action for the applicant, Mr *Musarurwa* was all over the place, seeking to cling to anything to show the legal basis for the claim. He then argued that the pre-contractual damages are delictual. He could not point to which existing law of delict would found such a cause of action. He again moved to legitimate expectation. The doctrine was simply thrown into the fray, but it was never pleaded in the request; even the draft summons and declaration do not show that it was being invoked. In any case, the doctrine of legitimate expectation as applied in this jurisdiction only leads to a procedural right to be heard before a decision affecting a person is taken, and not to a substantive right. See G Feltoe, *A Guide to Administrative and Local Government Law in Zimbabwe*, 2012 at p 62.

Mr *Musarurwa* further conceded that the law as it currently stands does not recognise a claim for pre-contractual damages. He, however, argued that in English law, in the case of *Cobbe* v *Yeoman's Row Management Ltd* [2008] UKHL 55, the House of Lords developed the law to recognise the claim for pre-contractual losses. He, therefore, argued that the court must develop the law in line with its duty under s 46(3) of the Constitution. The admission that there is currently no law in our jurisdiction supporting such a claim should resolve this matter. The impugned decision was that of the administrator or the respondent. Once the applicant's counsel accepts that in our law there is no recognised cause of action for such damages, then the respondent cannot be faulted for exercising his discretion in refusing leave. There would be no error in the exercise of his discretion then.

While the court can, in appropriate cases, develop the common law in the interests of justice, it must not be lost that the court here is dealing with the narrow question of whether the decision was unlawful, grossly unreasonable or procedurally unfair. The general rule is also that courts are loath to interfere with administrative actions or decisions unless they are shown to be unlawful, grossly unreasonable or procedurally unfair. See *ZIMSEC* (*supra*). To the extent that the law currently does not recognise the applicant's claim, the respondent accordingly acted in accordance with the law. His decision cannot, therefore, be considered grossly unreasonable or procedurally unfair.

If one also considers the request and even the draft summons and declaration, a proper case for unjust enrichment has not been properly pleaded. There was no indication from the request submitted before the respondent, even in the intended suit, that the company was enriched at the expense of the applicant and that the enrichment was unjustified. There was no benefit specified for the alleged pre-contractual expenses incurred. While Mr *Musarurwa* argued extensively on the benefit or the enrichment by HCCL, the papers before me did not state the facts he argued. What was critical was whether, before the respondent, those facts were pleaded, as I am only called upon to review that decision. The requirements for an action for unjust enrichment which any pleading must address are well-established. See *Mudzivo & Anor* v *Nyamakope* HH 120/09, where MAKARAU JP (as she then was) said:

> "It appears to me that this approach, though simple in nature, is in line with the steps that BARTLETT J laid out in *Walker v Industrial Equity Limited* 1996 (1) ZLR 269 (HC) where he was dealing with a claim founded on unjust enrichment. He adopted the summary that was set out by Wouter de Vos in Verrykingsaanspreeklikheid in die Suid Afrikaanse Reg (1958) as stated by Scholtens in the 1996 Annual Survey of South African Law, 150 at 152 C and gave the requisites of an action based on unjust enrichment as:
> "(a) the defendant must be enriched;
> (b) the enrichment must be at the expense of another (i.e., the plaintiff must be impoverished and there must be a causal connection between enrichment and impoverishment);
> (c) the enrichment must be unjustified;
> (d) the case should not come under the scope of one of the classical enrichment actions;
> (e) there should be no positive rule of law which refuses an action to the impoverished person."

See also Du Plessis, *The South African Law of Unjustified Enrichment*, 2012 at p 24.

The facts set out clearly did not go to meet the requirements of unjust enrichment. Mr *Musarurwa* could not fault the respondent by supplementing the facts presented before him. The

enrichment was not specified in the request, and even the draft declaration was simply generalised. The submissions on the British standard load tests conducted and the attempt to show how that would benefit the company at the applicant's impoverishment were not placed before the respondent. In the circumstances, it is clear that the applicant completely failed to show a *bona fide* claim for which leave to sue would be granted. In *Nedbank Ltd v Zevoli 208 (Pty) Ltd & Ors* 2017 (6) SA 318 (KZP), MADONDO DJP, while speaking specifically to the words "*bona fide* defence" in terms of the court rules, defined the term *"bona fide"* as follows:

> "[21] *'Bona fide'* relates to the defendant's subjective state of mind - that it believes its factual statement to be true. Actually, *'bona fide'* means to allege facts which, if proved at a trial, would constitute a good defence to the claim made against him. All this, shows that *'bona fide'* has to do with the belief on the part of the defendant as to the truth or falsity of his factual statements. However, it does not end there, the defence in question must also be good in law."

It is apparent from the record that the applicant could not establish a *bona fide* claim which he sought leave to institute. The respondent stated the reasons for his decision. The fact that one may not agree with those reasons does not mean that there are no reasons. Given that no clear and valid cause of action had been set out from the facts presented before him, it cannot be said that the decision was procedurally unfair, unlawful or grossly unreasonable. The respondent duly considered what was before him and accordingly satisfied the requirements set out in s 3(1) of the AJA.

The grounds pleaded in para 17 of the applicant's founding affidavit have not been established. While in the decision, the respondent may have gone further than was necessary, there was no irregularity justifying the interference with his exercise of discretion in terms of s 6(b) of the Act. I therefore, fully associate myself with the remarks in *Rio Zim (Pvt) Ltd* v *Trust Bank Corporation Ltd* SC 87/21 at pp 6-7 where MAKARAU JA (as she then was) stated as follows:

> "In the court *a quo's* final analysis, the respondent, being a company in distress had to be protected from the intended litigation which in its view was not only unnecessary but would make things worse for the respondent.
>
> As stated above, the appellant argues that the court *a quo* determined the merits of the intended application. It did not. It merely assessed the prospects of success of the intended application. **In doing so, it may have gone further than was necessary and further than most courts would. Whilst this is not ideal, it is not an irregular exercise of discretion**. **In consequence, it does not trigger the review jurisdiction of this court**.
>
> **The position is now settled that where a lower court exercises a discretion, the higher court cannot interfere unless the lower court has committed one or more of the four cardinal**

> **errors.** These are, acting upon a wrong principle, allowing extraneous or irrelevant matters to guide or affect it, mistaking the facts or failing to take into account some relevant consideration. (*Barros & Anor v Chimponda* 1999 (1) ZLR 58 (S)).” (*my emphasis*)

The above remarks equally apply in this case. There was no error or any procedural irregularities to invoke the exercise of the court’s review powers in the circumstances. The application cannot succeed.

DISPOSITION

I am not satisfied that the respondent’s decision was in any way unlawful, grossly unreasonable or procedurally unfair. The applicant failed to discharge the *onus* to show that the respondent breached his obligation as an administrative authority in terms of s 3(1) of the AJA. The applicant’s counsel conceded that the claim for damages for breach of pre-contractual duty was not recognised in our law. The purpose of reconstruction cannot be served by seeking to bring test cases. The refusal to grant leave for a claim which does not currently exist in our law cannot be faulted. A proper case for unjust enrichment was also not set out for the court to assess its prospects. The applicant failed to establish a *bona fide* claim which it intended to institute. There exist, therefore, no exceptional circumstances for the interference by this court in the exercise of the respondent’s discretion. The application is devoid of any merit and must fail. The question of whether the court should remit the matter to the administrator or substitute its own decision does not, therefore, arise.

Regarding costs, there was a prayer for costs on a legal practitioner and client scale. I did not find the application to constitute an abuse of court process to warrant a punitive award of costs. No exceptional circumstances exist to justify the applicant being mulcted with such costs. The court should not discourage litigants from approaching the courts if they have genuine cases worth detaining the court. It may turn out, as in this case, that the litigant fails to meet the threshold required for the court to interfere with the action or decision of an administrative authority, but that does not necessarily mean that the court must, in all such cases, penalise the litigant with an abominable order of costs. In my view, costs on the ordinary scale would meet the justices of the case. Costs shall accordingly follow the cause.

In the result, it is ordered as follows:

1. The application be and is hereby dismissed with costs.

DEMBURE J: ……..

Mambosasa, applicant's legal practitioners
MawereSibanda Commercial Lawyers, respondent's legal practitioners